Getting FLC licensed for retaining walls

What we need from QBCC, what we're paying Alistair Coleman, and what it costs per job.

AUGUST 2026 · FOR DECISION

01 What we're asking the board to approve

#	DECISION	DETAIL
1	**Apply for FLC's own QBCC company licence**	Aim for **Structural landscaping (trade)** so we sit in SC1 — confirm with QBCC first
2	**Employ Alistair as a casual employee**	Required by law — he must be an employee to be our nominee
3	**Pay him 5% of each wall, all in**	Wages and super together. About $1,500 on a $30,000 job
4	**Retain $16,000–$24,000 of profit**	To meet the $12,000 net tangible assets test
5	**Pause wall work over $3,300**	Until the licence is issued — see risks

02 Why we have to do this

FLC is an earthworks company, but **retaining walls are “building work”** under Queensland law. Any wall over **$3,300 incl. GST** must be built by a QBCC-licensed contractor.

A company can hold that licence **only if it has a nominee** — a licensed builder who must be a **director, secretary or employee** of the company. An outside contractor cannot be a nominee. That is section 42B of the QBCC Act, and it is why we need an employment agreement rather than a subcontract.

> THE POINT MOST PEOPLE MISS
>
> **An individual's licence does not license the company.** Licence 76041 is Alistair's personally — **FLC holds nothing**. If FLC Pty Ltd signs the contract with the

homeowner, FLC Pty Ltd needs its own licence.

03 The deal with Alistair

TERM	WHAT WE'VE AGREED
Employment type	Casual — job by job, no commitment either way
Award	Award-free. Engaged for licensed judgement, not trade work — **he stays off the tools**
What he's paid	**5% of each job, covering wages *and* super**
Hourly rate	$70/hr incl. 25% casual loading — the legal backstop, not the pay
Time per wall	Desk scope check plus 2 site visits ≈ 4.5 hours
Travel	Not paid time. Covered by the rate, plus a per-km vehicle allowance
Area	Brisbane and South East Queensland
His main job	Confirm *before we quote* that a wall is inside our licence and needs no engineer
What he does *not* do	He does **not** certify walls. An RPEQ engineer does that.

HOW THE PAY WORKS — A $20,000 WALL

5% is **$1,000**. Super takes $107, leaving $893 in wages. He works about 4.5 hours, so he's paid **$315** along the way, then a **$578 top-up** at completion. He receives $1,000 — exactly 5%.

04 What it costs per job

JOB VALUE EX GST	5% = TOTAL	WAGES	SUPER	PAID DURING	TOP-UP	ALL IN*
$10,000	$500	$446	$54	$315	$131	~$513
$12,000	$600	$536	$64	$315	$221	~$616
$14,000	$700	$625	$75	$315	$310	~$719
$16,000	$800	$714	$86	$315	$399	~$821
$18,000	$900	$804	$96	$315	$489	~$924
$20,000	**$1,000**	**$893**	**$107**	**$315**	**$578**	**~$1,027**

JOB VALUE EX GST	5% = TOTAL	WAGES	SUPER	PAID DURING	TOP-UP	ALL IN*
$22,000	$1,100	$982	$118	$315	$667	~$1,129
$24,000	$1,200	$1,071	$129	$315	$756	~$1,232
$26,000	$1,300	$1,161	$139	$315	$846	~$1,335
$28,000	$1,400	$1,250	$150	$315	$935	~$1,438
$30,000	**$1,500**	**$1,339**	**$161**	**$315**	**$1,024**	**~$1,540**

* WorkCover estimated at 3% of wages — confirm the actual policy rate. Excludes the km allowance and home warranty insurance. **Price walls at about 5.5% all in.**

> IF A JOB RUNS LONG
>
> Every extra hour adds **$78** ($70 wages + $8 super) and comes out of the top-up first. Once extra hours exceed the top-up, the job costs more than 5% — which is why the agreement requires written approval before he exceeds budgeted hours.

05 The money we need in the company

QBCC will not licence a company that can't meet its **Minimum Financial Requirements**. FLC sits in the smallest category, **SC1**.

$200,000	$12,000	$0
Maximum revenue	Net tangible assets	Cost to prove it — we self-declare

> SC1 IS ONLY OPEN TO TRADE CONTRACTORS — THE $34,000 QUESTION
>
> **SC1 is not available to Builder, Builder restricted, or Builder – project management services applicants.** So the class we apply for decides how much money we need in the company.

OUR COMPANY LICENCE CLASS	CATEGORY	NTA REQUIRED	PRE-TAX PROFIT TO RETAIN
Structural landscaping (trade)	**SC1**	**$12,000**	**~$16,000**
Builder — restricted to structural landscaping	**SC2**	**$46,000**	~$61,000

A $34,000 swing, and the biggest financial decision in this plan. We want the trade class.

Confirmed: Alistair holds Builder — Low Rise

Licence type	**Contractor Licence**
Holder	ALISTAIR J COLEMAN
Class	**Builder — Low Rise**
Number	76041
Expiry	16/03/27

Builder — Low Rise is a **builder** class. Matching it for FLC's company licence is the simplest paperwork, but it **locks FLC out of SC1** — builders start at SC2, $46,000.

RECOMMENDATION

Alistair adds Structural landscaping (trade) to his own licence, and FLC applies for that class in SC1. Cost to him **$250.73–$501.46**. Capital it saves FLC: **$34,000**.

ONE SCOPE QUESTION TO SETTLE IN THE SAME CALL

Builder — Low Rise covers Class 1 and Class 10 buildings up to three storeys, and a retaining wall is a Class 10b structure — so on its face it should cover this work. But at least one industry source says retaining walls fall to specialist trade classes instead. **If that's right, Alistair needs the trade class regardless of the financial category.** One call to QBCC answers it.

DIARY

Alistair's licence expires 16 March 2027. If it lapses, FLC has no nominee — QBCC must be told within 14 days, and FLC commits an offence after 28 days without one.

NO SAFETY NET BELOW THIS

> **SC1 is the lowest category — there is nothing beneath it.** The $12,000 is a hard floor, and a Deed of Covenant (a director guarantee) is **not available** in SC1. The assets have to genuinely sit in the company.

Getting there on retained profits

TARGET NTA	PRE-TAX PROFIT TO RETAIN
$12,000 — bare minimum	~$16,000
$18,000 — recommended	**~$24,000**
$20,000 — comfortable	~$26,700

Why more than $12,000? Company tax takes 25%, and the tax provision sits on the balance sheet as a liability until it's paid. Retain $12,000 pre-tax and NTA lands nearer $9,000 — which fails.

Why a buffer? If NTA falls **30% or more** below what we last told QBCC, we must lodge a full MFR report within 30 days — meaning accountant's fees, which is exactly what SC1 avoids. Sitting at $12,000, a $3,600 dip trips it.

Because we hire our plant, NTA is pure working capital

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cash + debtors − creditors − hire invoices − GST − PAYG − super payable − tax provision
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WHAT FOLLOWS	WHAT WE DO ABOUT IT
BAS liabilities are the trap. A profitable business can show near-zero NTA the week before a BAS is paid	Measure NTA *net of* those provisions — never off the bank balance
It swings between quarters with no plant to steady it	Hold the $18,000–$20,000 buffer
The 30% test measures against what we last reported	Declare a sustainable figure at a normal point in the cycle — not our best day

Don't buy plant to fix this. Financed plant brings its loan with it and usually makes NTA *worse* in year one. Keep hiring.

The faster alternative, if we want wall work sooner

ROUTE	SPEED	COST	LEAVES BEHIND
Retained profits — current plan	A quarter or two	Nil	Nothing — cleanest
Director capital injection	Immediate	\$12k–\$20k director cash as equity	Equity, recoverable later

06 Setup costs

ITEM	COST
Alistair adds a nominee supervisor class *(only if needed)*	\$250.73 – \$501.46, paid by him
QBCC application fee (company, SC1)	**\$732.77**
QBCC licence fee, first 12 months	**\$670.06**
Total payable on application	**\$1,402.83**
Annual renewal	Not published — budget around **\$670**, confirm with QBCC
Nominee appointment	Nil or nominal
MFR declaration (SC1)	**Nil** — self-declared on the application form
Net tangible assets \$12,000	**Not a cost** — a balance-sheet holding requirement
Lawyer review of the agreement	~\$500–\$1,500 *(estimate)*
WorkCover policy	Premium on declared wages
QLeave registration	**Nil.** The 0.575% levy only starts at \$150,000 projects

07 QBCC forms and links

WHAT	WHERE
Alistair's licence *(Builder — Low Rise, exp 16/03/27)*	myQBCC Portal → Licence Search
Company licence application — includes the SC1 declaration	form-licence-application-company.pdf
SC1 MFR declaration — standalone version	form-mfr-declaration-sc-1.pdf
Incoming nominee form — appoints Alistair	form-licence-company-nominee-incoming.pdf
Change maximum revenue — when we outgrow SC1	form-mfr-change-max-revenue.pdf

WHAT	WHERE
Current licence fees	Licence fees
Financial eligibility requirements	Financial information
Structural landscaping (trade) class	Class details
Annual financial reporting — companies aren't exempt	Annual reporting
myQBCC reporting guide for SC1/SC2	guide-myqbcc-mfr-sc1-2.pdf
QBCC phone	**139 333**

NOTES ON THE FORMS

The **SC1 declaration is built into the company application form —** no separate lodgement needed when applying. It must be signed by **two directors, or one director and the secretary**. Ask on the call whether a professional indemnity exemption declaration applies to our class. Annual reporting for SC1 opens **1 November and is due 31 March —** profit and loss figures in the portal only, no paperwork to send.

08 The plan

#	STEP	WHO	WHEN
1	**Remove licence 76041 from the website, quotes, email footers, socials and signage** — it is Alistair's personal licence, not FLC's	Directors	TODAY
1a	Diarise **16 March 2027** — Alistair's licence expiry. If it lapses FLC has no nominee	Directors	NOW
2	**Call QBCC 139 333** — the three questions below	Directors	DO FIRST
3	Confirm Alistair's licence class and expiry	Directors	DONE
4	Build NTA to $18,000–$20,000 via retained profits	Directors / accountant	IN PROGRESS
5	**Take no wall work over $3,300 until licensed**	All	LIVE NOW
6	Lodge the company licence application with the SC1 declaration	Directors	AFTER 4
7	Fill agreement placeholders — ABN, ACN, addresses, licence nos., km rate	Directors	CAN START

#	STEP	WHO	WHEN
8	**Lawyer review** of the agreement	Solicitor	CAN START
9	Sign the agreement	Both parties	AFTER 8
10	Lodge the incoming nominee form, attaching the signed agreement	Directors	AFTER LICENCE
11	Payroll — PAYG, super 12% within 7 business days, payslips	Bookkeeper	BEFORE JOB 1
12	Add Alistair to WorkCover; register with QLeave	Directors	BEFORE JOB 1
13	Once FLC's licence issues, put **FLC's own** number on the website, quotes and socials	Directors	AFTER LICENCE
14	Give Alistair the Fair Work and Casual Employment Information Statements	Directors	AT SIGNING
15	Schedule 1 before every quote, Schedule 2 every visit, keep 7 years	Both	ONGOING

The three questions for QBCC

1. *"Our nominee holds **Contractor Licence 76041, Builder — Low Rise**. Does that class cover retaining wall construction? And can he nominate for a **Structural landscaping (trade)** company licence, so we sit in **SC1**?"* — **the $34,000 question**
2. *"We build standalone retaining walls for homeowners, $7,500 to $30,000, not part of any other building work. Is that insurable work under the Queensland Home Warranty Scheme?"*
3. *"Does our earthworks revenue count toward the SC1 $200,000 maximum revenue cap, or only the licensed building work?"*

09 Risks the board should understand

RISK	WHY IT MATTERS	OUR CONTROL
Working unlicensed	Penalties around $43,175 first offence — and an unlicensed contractor **isn't entitled to be paid**, only "reasonable remuneration" with no profit	No wall work over $3,300 until licensed
Advertising a licence that isn't ours	**Confirmed.** 76041 is Alistair's personal licence and FLC advertises it as its own — a breach in its own right, separate from unlicensed contracting, and **live today**	Step 1 — remove it today, nothing to wait for
Licence lending	If Alistair signs off walls he didn't supervise it's an offence for **both** parties and damages both licences	Schedule 2 record at every visit — that's the evidence

RISK	WHY IT MATTERS	OUR CONTROL
Tiered walls	Two 800mm walls stepped up a slope aren't two exempt walls — the upper surcharges the lower. Build it as exempt and we've built an unengineered engineered wall: outside our licence, uninsured if it moves	Scope assessment before we quote
Alistair goes on the tools	Could pull him under the building award — 4-hour minimum engagements and allowances, and the 5% model stops working	Clause 4.5 of the agreement
Wrong licence class forces SC2	SC1 is trade-contractors only. A Builder restricted class means **$46,000** NTA instead of $12,000	Question 1 on the QBCC call — settle it before applying
Outgrowing SC1	At $30k a wall, $200,000 is **fewer than seven walls a year**. Exceeding declared revenue is a breach	Half-year check; move to SC2 before crossing
NTA dipping	Below $12,000 breaches SC1; a 30% fall forces a paid MFR report	Hold the $18k–$20k buffer
Home warranty insurance	Unresolved. If it applies to standalone walls it's a per-job cost **outside** the 5%	Question 2 on the QBCC call

10 Open items

ITEM	OWNER	BLOCKING
Does Builder — Low Rise cover retaining walls? Can he nominate for a trade-class company licence?	Directors	The whole application
Which company licence class matches Alistair's	Directors	The application
Home warranty insurance on standalone walls	Directors	Wall pricing
Whether earthworks revenue counts toward the SC1 cap	Directors	Category choice
QBCC annual renewal fee	Directors	Budget
FLC ABN, ACN, registered office	Directors	The agreement
Per-kilometre vehicle allowance rate	Directors	The agreement
When does NTA reach $18,000?	Accountant	Application timing

Not legal advice. Have a Queensland construction and employment lawyer review the agreement before signing. Figures marked *(estimate)* are indicative. QBCC fees must be confirmed from the QBCC fee page.